We have audited the consolidated balance sheets of Canada Bread Company, Limited as at December 31, 2000, and December 31, 1999, and the consolidated statements of earnings, retained earnings and cash flows for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with Canadian generally accepted auditing standards. Those standards require that we plan and perform an audit to obtain reasonable assurance whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation.

In our opinion, these consolidated financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2000, and December 31, 1999, and the results of its operations and its cash flows for the years then ended in accordance with Canadian generally accepted accounting principles.

KPMG LLP

KPMG LLP (signed), Chartered Accountants

Toronto, Canada,

February 5, 2001.

CONSOLIDATED BALANCE SHEET

(in thousands of Canadian dollars) As at	December 31, 2000	December 31, 1999
Assets		
Current Assets:		
Accounts receivable (note 4)	**$ 25,094**	$ 25,324
Due from related company (note 14)	**5,281**	4,290
Inventories	**16,065**	17,898
Income and other taxes receivable	**1,673**	—
Future tax asset (note 12)	**2,655**	—
Prepaid expenses	**1,740**	1,945
	52,508	49,457
Investment in associated company	**46,971**	46,128
Property and equipment (note 5)	**156,676**	166,290
Goodwill	**74,225**	77,490
	$ 330,380	$ 339,365
Liabilities and Shareholders' Equity		
Current Liabilities:		
Bank indebtedness	**$ 3,280**	$ 1,436
Accounts payable and accrued charges	**55,958**	64,394
Dividends payable	**1,285**	1,285
Income and other taxes payable	**—**	2,707
Current portion of long term debt (note 6)	**102**	106
	60,625	69,928
Long term debt (note 6)	**175**	14,772
Future tax liability (note 12)	**34,139**	—
Deferred income taxes	**—**	23,505
Shareholders' equity (note 8)	**235,441**	231,160
	$ 330,380	$ 339,365

See accompanying notes to consolidated financial statements.
Contingencies and commitments (note 15).
Subsequent event (note 16).

On behalf of the Board:

R.M. Dickhout (signed), Director

J.L. Bragg (signed), Director

CONSOLIDATED STATEMENTS OF EARNINGS

(in thousands of Canadian dollars, except per share amounts) Years ended	December 31, **2000**	December 31, 1999
Sales	**$ 553,660**	$ 567,251
Earnings from operations, before unusual items	**24,652**	20,111
Unusual items (note 3)	**—**	(8,350)
Earnings from operations	**24,652**	11,761
Other income (note 10)	**1,876**	1,469
Earnings before interest and taxes	**26,528**	13,230
Interest expense (note 11)	**2,323**	2,174
Earnings before income taxes	**24,205**	11,056
Income taxes (note 2g and 12)	**6,965**	4,754
Net earnings	**$ 17,240**	$ 6,302
Earnings per share (note 8)	**$ 0.80**	$ 0.29

See accompanying notes to consolidated financial statements.

CONSOLIDATED STATEMENTS OF RETAINED EARNINGS

(in thousands of Canadian dollars) Years ended	December 31, **2000**	December 31, 1999
Retained earnings, beginning of year (note 8)	**$ 194,195**	$ 193,033
Adjustment to reflect change in accounting for income taxes (note 2g)	**(7,819)**	—
Net earnings	**17,240**	6,302
Dividends declared ($0.24 per share; 1999 – $0.24 per share)	**(5,140)**	(5,140)
Retained earnings, end of year	**$ 198,476**	$ 194,195

See accompanying notes to consolidated financial statements.

CONSOLIDATED STATEMENTS OF CASH FLOWS

(in thousands of Canadian dollars) Years ended	December 31, **2000**	December 31, 1999
Cash Provided By (used in):		
Operating Activities		
Net earnings	**$ 17,240**	$ 6,302
Add (deduct) items not affecting cash:		
Depreciation	**17,385**	17,026
Amortization	**3,265**	3,075
Future income taxes	**(310)**	—
Deferred income taxes	**—**	2,663
Undistributed earnings of an associated company	**(843)**	(360)
Non-cash amounts included in unusual items	**—**	5,428
Changes in non-cash working capital	**(11,069)**	5,122
	25,668	39,256
Financing Activities		
Dividends paid	**(5,140)**	(5,140)
Decrease in long term debt, net	**(14,601)**	(12,072)
	(19,741)	(17,212)
Investing Activities		
Additions to property and equipment	**(7,771)**	(21,359)
	(7,771)	(21,359)
Increase (decrease) in cash and cash equivalents	**(1,844)**	685
Bank indebtedness, beginning of year	**(1,436)**	(2,121)
Bank indebtedness, end of year	**$ (3,280)**	$ (1,436)
Supplemental cash flow information:		
Net interest paid	**2,234**	2,178
Net taxes paid (recovered)	**11,109**	(943)

See accompanying notes to consolidated financial statements.

December 31, 2000, and December 31, 1999 (tabular amounts in thousands of dollars)

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and all of its subsidiaries operate in the bakery industry. Its principal business comprises the manufacture and sale of a variety of bakery and pasta products including fresh bread and rolls, bagels and par-baked bread. Canada Bread is 68% owned by Maple Leaf Foods Inc. ("Maple Leaf").

2. SIGNIFICANT ACCOUNTING POLICIES

The following are the significant accounting policies of the Company. The preparation of periodic financial statements necessarily involves the use of estimates and approximations. Should the underlying assumptions change, the actual amounts could differ from those estimated.

a) Principles of consolidation

The accompanying consolidated financial statements include the accounts of the Company and its subsidiaries. The Company owns a 25% interest in Multi-Marques Inc., a Quebec based bakery business, which is accounted for using the equity method.

b) Translations of foreign currencies

Monetary assets and liabilities denominated in foreign currencies are translated at year-end exchange rates. Exchange gains and losses are recognized in current earnings.

c) Financial instruments

The Company enters into hedging arrangements to manage its exposure to currency, commodity price and interest rate fluctuations. The gains and losses on these hedging instruments are recognized in the consolidated financial statements in the same period and are matched with the same financial statement category as the item to which the hedged position relates. Any accrued amounts receivable and payable under the terms of such contracts are included in accounts receivable and accounts payable, respectively.

d) Inventories

Inventories are valued at the lower of cost and net realizable value, with cost being determined substantially on a first-in, first-out basis.

e) Property and equipment

Property and equipment are recorded at cost including, where applicable, interest capitalized during the construction or development period. Depreciation is calculated using the straight-line basis at the following rates which are based on the expected useful life of the asset:

Buildings	2½% – 5%
Machinery and equipment	7½% – 33⅓%

f) Goodwill

The excess of the purchase price over the estimated fair value of identifiable net assets acquired represents goodwill. Goodwill is amortized over periods ranging from ten to forty years on a straight-line basis. The Company annually reviews the carrying value of goodwill to determine if an impairment has occurred.

The Company measures the potential impairment of goodwill by comparing the undiscounted value of the expected future operating income before income taxes, interest and amortization of goodwill to the carrying value of goodwill. Any permanent impairment in the value of goodwill is written off against earnings.

g) Income taxes

The Company has adopted The Canadian Institute of Chartered Accountants new income tax accounting standards retroactively, effective January 1, 2000, without restatement of the financial statements of any prior periods as permitted under the standard. The standard requires a change from the deferred method of accounting for income taxes to the asset and liability method of accounting for income taxes.

Under the new standard, future tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases. Future tax assets and liabilities are measured using enacted or substantively enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. In addition, the effect on future tax assets and liabilities of a change in tax rates is recognized in income in the period that includes the substantial enactment or the enactment date.

Pursuant to the deferral method, which was applied for the year ended December 31, 1999, and prior years, deferred income taxes are recognized for income and expense items that are reported in different years for financial reporting purposes and income tax purposes using the tax rate applicable for the year of the tax calculation. Under the deferral method, deferred taxes are not adjusted for subsequent changes in tax rates.

The cumulative effect of this change in accounting for income taxes of $7.8 million is determined as of January 1, 2000, and is reported separately in the consolidated statement of retained earnings as a restatement of the opening balance of retained earnings for the year ended December 31, 2000.

h) Employee benefit plans

The Company has adopted The Canadian Institute of Chartered Accountants new employee benefit plan standard prospectively, from January 1, 2000. Under new recommendations, the cost of the Company's defined benefit pension plans, post-retirement health, life insurance and other post-employment benefits is accrued as earned, based on actuarial valuations. The Company's pension fund assets are valued at market values and the excess net actuarial gain or loss over 10% of the greater of the benefit obligation and the market value of plan assets is amortized over the average remaining service period of active employees. Employee future benefits are measured using market interest rates on high quality debt instruments.

The application of this accounting standard for the year ended December 31, 2000, does not materially affect net earnings or earnings per share as at December 31, 2000.

The Company has a defined contribution plan for some of its hourly employees. Current service pension costs are expensed as funded.

i) Stock-based compensation

The Company has stock option plans for employees. No compensation expense is recognized on the issue of options under stock options plans. Consideration paid by employees on the exercise of stock options is recorded as share capital. The stock option plans are described in note 9.

j) Statement of cash flows

Cash and cash equivalents are defined as cash and short term securities with maturities less than ninety days at the date of acquisition, less bank indebtedness.

k) Comparative figures

Certain comparative figures have been reclassified to conform with the financial statement presentation adopted in the current year.

3. UNUSUAL ITEMS

The Company recorded a charge in 1999 of $8.4 million ($5.4 million, net of tax), relating to further centralization and streamlining of administrative and operating processes.

At December 31, 2000, approximately $1.7 million (1999 – $6.7 million) relating primarily to severance is included in accounts payable and accrued charges.

4. ACCOUNTS RECEIVABLE

Under a revolving securitization program, the Company has sold, with limited recourse, certain of its trade accounts receivable to a financial institution. At December 31, 2000, trade accounts receivable amounting to $20 million (1999 – $20 million) had been sold under this program.

5. PROPERTY AND EQUIPMENT

	2000	1999
Land	**$ 13,219**	$ 13,198
Building	**52,039**	50,272
Machinery and equipment	**210,331**	197,384
Construction in progress	**4,388**	13,511
	279,977	274,365
Less accumulated depreciation	**123,301**	108,075
Net book value	**$ 156,676**	$ 166,290

6. LONG TERM DEBT

	2000	1999
Revolving term facility	**$ —**	$ 14,500
Obligations under capital leases and other long term debt	**277**	378
	277	14,878
Less current portion	**102**	106
	$ 175	$ 14,772

The Company has two revolving committed facilities with Canadian chartered banks for $20 million each. Of these facilities, $20 million is available through September 2003 and is extended annually at the lender's option. The second $20 million facility will mature in December 2001. These facilities bear interest based on Bankers' Acceptance rates for Canadian dollar loans and LIBOR for U.S. dollar loans. As at December 31, 2000, no amount (1999 – $14.5 million) had been drawn under these facilities.

In addition, the Company has undrawn demand overdraft facilities of $32.6 million (1999 – $35.6 million) which bear interest at short term rates.

7. DERIVATIVE FINANCIAL STATEMENTS AND RISK MANAGEMENT

In the ordinary course of business, the Company enters into derivative financial instruments to reduce underlying cash flow risks associated with foreign currency and interest rates.

Foreign currency risk management

The Company uses foreign currency forward contracts to manage its currency exposure. The currency exposures relate primarily to U.S. dollar denominated export sales.

At December 31, 2000, the Company had outstanding commitments to sell forward US$4.2 million (1999 – US$7.2 million) to Maple Leaf. The Company has designated these contracts as a hedge of export sales in future fiscal periods as follows:

2001	US$3.0 million
2002	US$1.2 million

Based on the exchange rate at December 31, 2000, the Company would have incurred a loss of $0.3 million (1999 – $0.2 million) to settle all its commitments under its outstanding foreign exchange forward contracts.

Interest rate risk management

The Company uses interest rate swaps to manage its exposure to interest rate fluctuations. At December 31, 2000, the Company had one swap contract, with a notional amount of $24 million and a maturity date of June 10, 2008, in place with Maple Leaf. The fixed rate payable by the Company under this contract is 5.64%.

Based on market values at December 31, 2000, the Company would have realized a gain of $0.1 million (1999 – $1.6 million) to terminate the above noted swap agreements. Market values were determined based on information received from the Company's counterparty to these contracts.

The Company's blended average effective cost of borrowing for 2000 was 5.9% (1999 – 5.5%) after adjusting for the payments made under swap contracts in place in 2000.

8. SHAREHOLDERS' EQUITY

Shareholders' equity consists of the following:

	2000	1999
Share capital (21,416,812 common shares)	**$ 36,965**	$ 36,965
Retained earnings	**198,476**	194,195
	$ 235,441	$ 231,160

The authorized share capital of the Company consists of an unlimited number of common shares.

9. SHARE OPTIONS

The Board of Directors have approved the issue of stock options to certain members of the Company's management. Up to 940,000 shares may be issued under this plan. Options to purchase 333,500 shares remain available to be granted in the future.

Certain employees and officers of the Company participate in the Maple Leaf stock option plan. No costs are charged to the Company for participation in this plan.

10. OTHER INCOME

	2000	1999
Earnings from an associated company	**$ 1,906**	$ 1,423
Gain (loss) on sale of property and equipment	**(30)**	46
	$ 1,876	$ 1,469

11. INTEREST EXPENSE

	2000	1999
Interest expense on long term debt	**$ 1,343**	$ 1,344
Net interest expense on short term debt and accounts receivable securitization (note 4)	**980**	830
	$ 2,323	$ 2,174

12. INCOME TAXES

Income tax expense varies from the amount that would be computed by applying the combined federal and provincial statutory tax rate as a result of the following:

	2000	1999
Income tax expense according to combined statutory rate of 44.5% (1999 – 44.9%)	**$ 10,761**	$ 4,960
Increase (reduction) in income taxes resulting from:		
Adjustment to future tax assets and liabilities for enacted changes in tax laws and reduction in the capital gains inclusion rate	**(2,804)**	—
Manufacturing and processing credit	**(1,943)**	(857)
Non-taxable gains	**(87)**	(295)
Non-deductible goodwill amortization	**1,129**	1,139
Equity in earnings of associated company	**(748)**	(566)
Large Corporations Tax	**147**	205
Other	**510**	168
Total income taxes	**$ 6,965**	$ 4,754

Income tax expense attributable to net income consists of:

	Current	Future	Total
Year ended December 31,			
2000	$ 7,275	$ (310)	$ 6,965
1999	$ 3,361	$ 1,393	$ 4,754

The tax effects of temporary differences that give rise to significant portions of the future tax assets and future tax liabilities at December 31, 2000, are presented below:

Future tax assets:	
Accrued assets	$ 2,310
Other	779
Total future tax assets	$ 3,089
Future tax liabilities:	
Plant and equipment – differences in net book value and undepreciated capital cost	$ 24,275
Investments in affiliated company – undistributed income of affiliated company	7,966
Other	2,332
Total future tax liabilities	$ 34,573

13. PENSIONS AND OTHER POST-RETIREMENT BENEFITS

Information about the Company's defined benefit plans as at December 31, 2000, in aggregate, is as follows:

	Pension benefit plans
Accrued benefit obligation:	
Balance, beginning of year	$ 64,711
Current service cost	1,508
Interest cost	4,829
Benefits paid	(5,263)
Actuarial losses	3,734
Employees' contribution	961
Balance, end of year	$ 70,480
Plan assets:	
Fair value, beginning of year	$ 79,022
Actual return on plan assets	7,916
Employer contributions	415
Employees' contributions	961
Benefits paid	(5,263)
Fair value, end of year	$ 83,051
Funded status – plan surplus	12,570
Unamortized transitional amount	(11,338)
Unamortized net actuarial gain	2,008
Accrued benefit asset	$ 3,240

The significant actuarial weighted average assumptions adopted in measuring the Company's accrued benefit obligations are as follows as of December 31, 2000:

	Pension benefit plans
Discount rate	7.5%
Expected long term rate of return on plan assets	8.0%
Rate of compensation increase	4.5%

The Company's net benefit plan expense (income) for the year ended December 31, 2000, is as follows:

	Pension benefit plans
Current service cost	$ 1,508
Interest cost	4,829
Expected return on plan assets	(6,190)
Amortization of transitional obligation	(777)
Net benefit plan expense (income)	$ (630)

The expense during the year for the defined contribution plan was $1.4 million (1999 – $1.5 million).

14. RELATED PARTY TRANSACTIONS

a) A significant portion of the Company's sales to the U.S. and other export markets are through related companies during the normal course of operations and have been recorded at market amounts.

b) Maple Leaf provides the Company with certain management services including treasury, taxation, internal audit, accounting and access to bulk purchasing programs. Pursuant to a Management and Affiliation Agreement entered into in August 1995, the Company paid a management and affiliation fee of $3.4 million (1999 – $3.2 million) to Maple Leaf which approximates the cost of providing these services.

c) The Company entered into a Management Services Agreement with Maple Leaf Foods USA Inc. (Maple Leaf USA), whereby Maple Leaf USA administered and supervised the management of the Company's U.S. operations commencing January 1996. The cost of providing this service was included in the management and affiliation fee. Both agreements were approved by the independent members of the Board of Directors. Under this agreement, sales of product in the U.S. that is manufactured in the Canadian facilities are managed by Maple Leaf USA. The sales value and profitability related to these sales are recorded in the Company's financial statements.

d) The Company receives certain information system services from Maple Leaf and is charged for direct costs incurred.

15. CONTINGENCIES AND COMMITMENTS

a) The Company has been named as defendant in several legal actions and is subject to various risks and contingencies arising in the normal course of business. Management is of the opinion that the outcome of these uncertainties will not have a material adverse effect on the Company's financial position.

b) In the normal course of business, the Company enters into sales commitments with various customers, and purchase commitments with various suppliers. These commitments are for varying terms, and can provide for fixed or variable prices. The Company believes these contracts serve to reduce risk, and it is not anticipated that losses will be incurred on these contracts.

c) The Company has operating lease commitments in respect of property and equipment used in operations which require minimum annual payments as follows:

2001	$ 11,303
2002	8,922
2003	6,402
2004	3,720
2005	1,899
Thereafter	963
	$ 33,209

16. SUBSEQUENT EVENT

On January 22, 2001, the Company reached an agreement to increase its ownership in Multi-Marques Inc. from 25% to 100% by acquiring the remaining outstanding shares from all of the other shareholders. The purchase will represent a net investment of approximately $125 million and will be financed with new long term bank debt. Finalization of the transaction is dependant on clearance of the transaction under the Competition Act.